

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-16

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

COSCO SHIPPING LINES CO. LTD.

Respondent and Third-Party Complainant,

v.

SAMSUNG ELECTRONICS COMPANY, LTD., SAMSUNG SDS GLOBAL SCL ASIA
PACIFIC PTE LTD, AND SAMSUNG ELECTRONICS LOGITECH COMPANY, LIMITED

Third-Party Respondents.

**THIRD-PARTY RESPONDENTS' MOTION TO DISMISS RESPONDENT'S
THIRD-PARTY COMPLAINT**

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**THIRD-PARTY RESPONDENTS' MOTION TO DISMISS RESPONDENT'S
THIRD-PARTY COMPLAINT**

Third-Party Respondents Samsung Electronics Co., Ltd. s/h/a Samsung Electronics Company, Ltd. (“SEC”), Samsung SDS Asia Pacific Pte Ltd. s/h/a Samsung SDS Global SCL Asia Pacific Pte Ltd (“SDS”), and Samsung Electronics Logitech Co., Ltd. s/h/a Samsung Electronics Logitech Company, Limited (“Logitech”)(SEC, SDS and Logitech collectively “Third-Party Respondents” or “Samsung Respondents”), having specially appeared by their undersigned attorneys for the limited purpose of filing this motion, respectfully submit this Motion to Dismiss the Third-Party Complaint of COSCO Shipping Lines Co. Ltd. (“COSCO” or “Respondent”) based on the insufficiency of the service of process.

INTRODUCTION

Respondent, in an attempt to deflect focus on its demurrage and detention practices during the Covid-19 pandemic, has improperly sought to bring SEC, SDS and Logitech into this FMC proceeding which was initiated by Samsung Electronics America, Inc. None of SEC, SDS or Logitech is a regulated entity before the FMC, have any business before the FMC, or have sought relief here.

As an initial matter, Third-Party Respondents note that while the initiation of the service of process of the Third-Party Complaint appears to have been made in accordance with FMC procedures, the attempted service of process was not and cannot be effective and, more importantly, those procedures do not meet the requirements of U.S. and applicable international law and on that basis, the Third-Party Complaint must be dismissed.

The Third-Party Complaint was received by the FMC Secretary on May 13, 2025, and allegedly served by the Secretary on May 14, 2025. (Doc. No. 31, stamps affixed on first page). For the purposes of this motion, service by the Secretary appears to have been attempted in

accordance with Rule 113, 46 C.F.R. § 502.113(b): “The Secretary will serve the complaint using first class mail or express mail service at the Respondent’s address provided by the Complainant.” While this rule may well be suitable for service on entities regulated by the FMC, it is wholly insufficient for non-regulated foreign entities such as SEC, SDS and Logitech.

On May 16, 2025, Logitech received a Federal Express package at its address in the Republic of Korea (“Korea”), consisting of a letter from the Secretary, dated May 14, 2025 (attached as Exhibit A to the Declaration of James H. Hohenstein, dated June 6, 2025 (“Hohenstein Decl.”)), which letter enclosed the Third-Party Complaint (Doc. 31) and the Secretary’s Notice of Filing of Third-Party Complaint (Doc. 33). No translated copy of the Third-Party Complaint was included in the Federal Express package (Hohenstein Decl. ¶ 3).

On May 21, 2025, SDS received a Federal Express package at its address in the Republic of Singapore (“Singapore”), consisting of a letter from the Secretary, dated May 14, 2025 (attached as Exhibit B to the Hohenstein Decl.), which letter enclosed the Third-Party Complaint (Doc. 31) and the Secretary’s Notice of Filing of Third-Party Complaint (Doc. 33) (Hohenstein Decl. ¶ 4).

On May 29, 2025, the Secretary reported that the attempted service on SEC was not successful (Doc. 38).

While the process initiated by the Secretary has not been received by SEC in Korea, given the Federal Express packages received by Logitech and SDS with a notational date for submission of Third-Party Respondents’ initial responsive pleadings of June 9, 2025, as precautionary matter, Third-Party Respondents made a limited and special appearance in this case on June 4, 2025. (Doc. No. 42).

SEC, SDS and Logitech should not be compelled to submit any responsive pleading until service has been properly made; however, given Third-Party Respondents' limited and special appearance in this matter and for reasons of judicial efficiency, Third-Party Respondents respectfully submit that this motion to dismiss raises an important issue that should be considered by the FMC: specifically, the application of relevant U.S. and treaty law concerning the service of process of a third-party complaint in FMC proceedings on non-regulated foreign entities, such as SEC, SDS and Logitech.

LEGAL STANDARD

Although the Commission's Rules of Practice and Procedure do not explicitly provide for Motions to Dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules to the extent that the application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12.

Third-Party Respondents' motion to dismiss based on the insufficiency of the service of process (Fed. R. Civ. P. 12(b)(5)) conforms with this precept.

ARGUMENT: SERVICE OF PROCESS WAS AND IS INSUFFICIENT

The attempted services of process of the Third-Party Complaint did not and do not comply with mandatory U.S. law concerning the service of process on parties resident in foreign jurisdictions, including Korea and Singapore. Thus, the Third-Party Complaint must be dismissed.

As alleged by OOCL and not disputed by Third-Party Respondent, SEC is a corporation organized and existing under the laws of Korea with its principal place of business in Korea (Doc. No. 31, ¶ 2), SDS is a corporation organized and existing under the laws of Singapore with its

principal place of business in Singapore (Doc. No. 31, ¶ 3), and Logitech is a corporation organized and existing under the laws of Korea with its principal place of business in Korea (Doc. No. 31, ¶ 4).

Given that SEC and Logitech are domiciled in Korea and SDS is domiciled in Singapore, the terms of the Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil and Commercial Matters, November 15, 1965, 20 U.S.T. 361, T.I.A.S. No. 6638 (the “Hague Convention”) must be considered. The full text of the Hague Convention is attached as Exhibit C to the Hohenstein Decl.

Article 1 of the Hague Convention states: “The present Convention shall apply in all cases, in civil or commercial matters where there is occasion to transmit a judicial or extrajudicial document for service abroad.” As held by the U.S. Supreme Court, the language of Article 1 is “mandatory”. *Volkswagenwerk Aktiengesellschaft v. Schlunk*, 486 U.S. 694, 699 (1988)(citing *Société Nationale Industrielle Aérospatiale v. United States District Court for the Southern District of Iowa*, 482 U.S. 522, 534 n. 15 (1987)). See also Fed. R. Civ. P. 4(f)(1) Advisory Committee’s Notes (1993 Amendments): “[The Hague] Convention is an important means of dealing with problems of service in a foreign country...Use of the [Hague] Convention procedures, when available is mandatory if documents must be transmitted abroad to effect service...Therefore, [Fed. R. Civ. P. 4(f)(1)] provides that, when service is to be effected outside a judicial district of the United States, the methods of service appropriate under an applicable treaty shall be employed if available and if the treaty so requires.” (citations omitted).

The United States, Korea and Singapore are signatories to the Hague Convention. *Touchpoint Projection Innovations LLC v. CDNetworks Co., Ltd.*, Civ. Action No. 2:23-CV-00233-JRG, 2024 WL 4028034, *3 (E.D. Tex. Aug. 30, 2024)(Korea); *American River Transp.*

Co. v. M/V Bow Lion, No. Civ.A 03-1306, 03-1594, 03-1797, 03-1864, 03-2003, 2004 WL 764181, *3 (E.D. La. Apr. 7, 2004)(Korea). Singapore acceded to the Hague Convention on May 16, 2023, and it came into force in Singapore on December 1, 2023 (Hohenstein Decl. Exs. D and E). Thus, the terms of the Hague Convention mandatorily apply to service of process on the Third-Party Respondents in this matter.

The Supreme Court has reprised the basic functioning of the Hague Convention:

The primary innovation of the Convention is that it requires each state to establish a central authority to receive requests for service of documents from other countries...Art. 2. Once a central authority receives a request in the proper form it must serve the documents by a method prescribed by the internal law of the receiving state or by a method designated by the requester and compatible with that law. Art. 5. The central authority must then provide a certificate of service that conforms to a specified model. Art. 6. A state also may consent to methods of service within its boundaries other than a request to its central authority. Arts. 8-11, 19.

Schlunk, 486 U.S. at 698-99 (citation omitted). The receiving state also has the option to require that the document be translated into the official language of that receiving state. Hague Convention, Article 5.

As stated in *Schlunk*, parties to the Hague Convention have the option to consent to other methods of service, including service by postal channels. Hague Convention, Article 10. Conversely, a state may affirmatively object to such service as Korea and Singapore have done.

Concerning Korea, attached as Exhibit F to the Hohenstein Decl. is the official Declaration/Reservation/Notification of Korea in which Korea objects to service of documents by postal channels directly to persons within its territory. Attached as Exhibit G to the Hohenstein Decl. is an information sheet promulgated by the Korean government which outlines the details of proper service in Korea. It confirms that direct service by postal means is not acceptable and directs that the documents must be provided to the Korean Central Authority for service and should

include a translation of such documents into Korean. The lack of a translation attached to COSCO's Third-Party Complaint or appearing elsewhere in FMC Docket 24-16, indicates that such a translation was not included in the Commission's mailing nor was a translated version of the Third-Party Complaint included with the documents transmitted by the Secretary and received by Logitech (Hohenstein Decl. ¶ 3).

Concerning Singapore, attached as Exhibit H to the Hohenstein Decl. is the official Declaration/Reservation/Notification of Singapore in which Singapore objects, *inter alia*, to service of documents by postal channels directly to persons within its territory. Attached as Exhibit I to the Hohenstein Decl. is an information sheet promulgated by the Singaporean government which outlines the details of proper service in Singapore. It confirms that direct service by postal means is not acceptable and directs that the documents must be provided to the Singapore Central Authority for service.

The U.S. Supreme Court addressed the issue of the service of process by postal means in *Water Splash, Inc. v. Menon*, 581 U.S. 271 (2017). In *Water Splash*, the plaintiff sought to make service of process on a party in Canada by mail. *Id.* at 274. The Court noted that Canada had not objected to Article 10's service by mail provisions. *Id.* at 282-83 n. 7. In finding that the service of process by mail was permissible, the Court held: "[I]n cases governed by the Hague Service Convention, service by mail is permissible if two conditions are met: first, the receiving state has not objected to service by mail; and second, service by mail is authorized under otherwise-applicable law." *Id.* at 284 (citation omitted).

Water Splash was addressed by the FMC in *In re: Vehicle Carrier Services*, FMC Dkt. Nos. 16-01, 16-07, 16-10, 16-11, and 17-09, 2018 WL 2214682, 1 F.M.C.2d 45 (FMC May 7, 2018). In that matter, the respondents had raised the issue of whether service of process in

accordance with the FMC Rule was proper under the Hague Convention, however, at the time of the filing of the motion, *Water Splash* was *sub judice* before the Supreme Court. By the time of the FMC ruling cited here, *Water Splash* had been decided. The Presiding Officer noted that decision and the fact that the parties had not briefed the service of process issue in light of *Water Splash*, thus the motion to dismiss based on the insufficiency of the service of process was denied without prejudice. 2018 WL 2214682 at *97, 1 F.M.C.2d at 51-52. As such, *Vehicle Carrier Services* does not illuminate the issue presented by SEC's motion, other than to note the Presiding Officer was certainly mindful of the necessity of following the Hague Convention as far as service of FMC complaints.

That said, the issue has been addressed by the U.S District Courts. For example, in *Ghazarian v. Republic of Turkey*, Case No. CV 19-4664-PSG (Ex), 2020 WL 3643483 (C.D. Cal. Mar. 30, 2020), the plaintiffs attempted to serve the government of Turkey by mail. Noting that Turkey objected to this manner of service, the Court denied a request for the entry of a default judgment since "Plaintiffs cannot meet the first prong of the *Water Splash* test." *Id.* at *2 (citation omitted).

Turning to Korea, the precedent is consistent: service on a party in Korea must be done in accordance with the Hague Convention, i.e., direct service by mail is impermissible. *See Touchpoint*, 2024 WL 40228034 at * 4 ("[T]o properly serve a nonresident defendant in South Korea through the Hague Convention service must be through the Central Authority in South Korea as set forth in the Hague Convention."); *Sharp v. Shinhan Bank Co., Ltd.*, CV 21-9197 DSF (MRWx), 2022 WL 22339345, * 3 (C.D. Cal. Apr. 1, 2022)("To properly effect service in the Republic of Korea under the Hague Convention, a plaintiff must serve a translated version of the Complaint through South Korea's designated Central Authority.")(citation omitted).

Given Singapore's objection to service by mail, a similar result must pertain to service on a party resident in that jurisdiction.

Failure to follow the proper procedure supports the dismissal of the action under Fed. R. Civ. P. 12(b)(5). *See Castillo v. Hongjin Crown Corp.*, Civil Action No. DR-08-CV-00031-AML-VRG, 2008 WL 11334092, * 2-3 (W.D. Tex. Oct. 27, 2008)(Garcia, Mag. J.), *report and recommendation adopted and dismissal granted*, 2009 WL 1069624, *2 (W.D. Tex. Sep. 16, 2009)(where plaintiffs failed to send the summons and complaint through Korea's Central Authority for service, granting the motion to dismiss under Fed. R. Civ. P. 12(b)(5) was proper); *American River*, 2004 WL 764181 at * 1 – 4 (where service of third-party complaint was made by mailing an untranslated third-party complaint by mail to a party in Korea, the failure to follow the proper Hague Convention procedures resulted in the dismissal of the case pursuant to Fed. R. Civ. P. 12(b)(5)). The same analysis and result must apply to matters involving Singapore.

In sum, the terms of the Hague Convention are mandatory and have not been followed in this matter. While service by the Commission Secretary was and has been initiated in accordance with Rule 113 using first class mail or express mail service to the Third-Party Respondents' addresses provided by COSCO, the Third-Party Complaint was not sent to the Central Authorities designated by Korea and Singapore. Further, no translation of the Third-Party Complaint is alleged to have been included with the express mailed Third-Party Complaints to SEC and Logitech, and no such translation has been included in the Docket. These deviations from the prescribed manner of service under the Hague Convention, to parties with addresses in Korea and Singapore, establish that service of process on Third-Party Respondents was not and cannot be either effective or proper.

CONCLUSION

Given the failure to serve process in accordance with the Hague Convention, the Third-Party Complaint should be dismissed.

Accordingly, pursuant to Fed. R. Civ. P. 12(b)(5), 46 C.F.R. §§ 502.69, 502.70, and 502.254, Third-Party Respondents SEC, SDS and Logitech respectfully move for an Order:

1. Dismissing with prejudice COSCO's Third-Party Complaint in its entirety;
2. Granting SEC, SDS and Logitech their attorneys' fees and costs in connection with this Motion to Dismiss; and,
3. Granting SEC, SDS and Logitech all such other and further relief as may be just and proper.

Dated: June 6, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document as well as the Declaration of James H. Hohenstein, dated June 6, 2025, by electronic mail upon the following persons/addresses:

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